SECOND SEMESTER BVOC EXAMINATION 2026

MG2SDCLMT100 - SUPPLY CHAIN MANAGEMENT

QP Code: 25901863

Answer Key

PART A – MULTIPLE CHOICE QUESTIONS

1. A network of organizations involved in the flow of goods, services, and information.
2. Site selection.
3. Air transport.
4. Improving route optimization and warehouse automation over time.
5. Potential disruptions that can impact the flow of goods/services.
6. Facilities.
7. Combines elements of centralized and decentralized designs.
8. Operational costs.
9. Potential suppliers.
10. Ensuring the supply chain capabilities support the competitive strategy.

PART B – VERY SHORT ANSWERS

11. What is digital logistics management?
Digital logistics management refers to the use of digital technologies such as ERP, cloud computing, AI, RFID, and GPS to manage logistics activities efficiently. It improves visibility, coordination, automation, and decision-making in supply chains.

12. What is Inventory Management?
Inventory management is the process of controlling and overseeing the flow of raw materials, work-in-progress, and finished goods to ensure product availability while minimizing holding costs and stock shortages.

13. Why is periodic evaluation necessary?
Periodic evaluation is necessary to monitor supplier performance, identify

weaknesses, ensure quality standards, reduce risks, and improve overall supply chain efficiency.

14. Mention one 'Green' practice in SCM.
Using eco-friendly packaging or electric vehicles in logistics is a green SCM practice.

15. How does CRM support supply chain management?
CRM supports SCM by managing customer interactions, understanding customer needs, improving order management, and enhancing customer satisfaction.

16. What are Tactical Decisions?
Tactical decisions are medium-term decisions that bridge strategic planning and daily operations in supply chain management. They focus on resource allocation, production planning, and inventory management.

17. State the primary purpose of a Warehouse.
The primary purpose of a warehouse is to store goods safely until they are needed for distribution or sale.

18. How does SCM improve organizational efficiency?
SCM improves organizational efficiency by optimizing inventory, reducing operational costs, improving coordination, and ensuring timely delivery of products.

19. How does IT improve Visibility?
IT improves visibility by providing real-time tracking and monitoring of products using technologies such as RFID, GPS, ERP, and cloud systems.

20. What is a direct supply chain?
A direct supply chain involves direct flow of products from supplier to manufacturer to customer without multiple intermediaries.

21. Mention one benefit of SRM.
One benefit of SRM is improved supplier collaboration and long-term relationships, which enhance efficiency and reduce costs.

22. Why is 'Ease of Doing Business' important?
Ease of Doing Business is important because it encourages investment, improves operational efficiency, reduces regulatory barriers, and supports business growth.

PART C – SHORT ESSAYS

23. Explain the process involved in capacity planning.

Capacity planning is the process of determining the production capacity required to meet current and future demand. It helps organizations balance resources efficiently and avoid overcapacity or shortages.

Steps in Capacity Planning:
1. Measure Current Capacity
2. Forecast Future Demand
3. Identify Capacity Gaps
4. Develop Capacity Alternatives
5. Evaluate Alternatives
6. Select the Best Strategy
7. Implement the Plan
8. Monitor and Control

24. Discuss how digital transformation is shaping modern supply chains.

Digital transformation is revolutionizing modern supply chains by improving efficiency, visibility, automation, and decision-making. Advanced technologies help organizations respond quickly to market changes and customer demands.

Key ways digital transformation shapes supply chains:
1. Integration
2. Information Sharing
3. Automation
4. Visibility and Tracking
5. Decision Support
6. Improved Customer Service
7. Risk Management

25. Explain decentralised distribution network design and its advantages & disadvantages.

A decentralized distribution network uses multiple smaller warehouses located near customer regions. Each facility serves a limited geographic area, enabling faster delivery and local responsiveness.

Advantages:

1. Faster delivery to customers.
2. Better customer service and responsiveness.
3. Reduced transportation time and cost.
4. Improved resilience.

Disadvantages:
1. Higher inventory holding costs.
2. Reduced economies of scale.
3. Complex coordination.
4. Risk of overstocking or stockouts.

26. Explain SCM and its Components.

Supply Chain Management (SCM) is the strategic coordination of activities involved in the flow of materials, information, and finances from suppliers to customers.

Components:
1. Planning
2. Sourcing
3. Production
4. Logistics
5. Inventory Management
6. Information Flow
7. Risk Management
8. Reverse Logistics
9. Performance Measurement

27. Explain advantages & disadvantages of Global Supply Chain.

Advantages:
1. Access to global markets.
2. Lower production costs.
3. Diverse suppliers.
4. Economies of scale.
5. Increased competitiveness.

Disadvantages:
1. Higher logistics costs.
2. Political and economic risks.
3. Communication barriers.

4. Complex coordination.
5. Supply chain disruptions.

28. Discuss the relationship between logistics management and SCM.

Logistics management is a component of SCM that focuses on transportation, warehousing, and movement of goods. SCM is broader and integrates sourcing, production, inventory, logistics, and customer management.

Relationship:
1. Logistics supports SCM operations.
2. SCM coordinates all supply chain activities.
3. Effective logistics improves delivery and customer satisfaction.
4. SCM integrates logistics with procurement and production.